



United States  
Attorney's Office  
District of New Hampshire



# Former CEO of Startup Software Company Sentenced to 30 Months in Federal Prison for Tax Scheme

Friday, January 24, 2025

## For Immediate Release

U.S. Attorney's Office, District of New Hampshire

CONCORD – A Bedford man was sentenced yesterday in federal court for his scheme to willfully fail to pay more than \$14 million in payroll taxes owed to the IRS and failing to file and pay his personal taxes, Acting U.S. Attorney Jay McCormack and Acting Deputy Assistant Attorney General Karen E. Kelly of the Justice Department's Tax Division announce.

Andrew Park, 49, was sentenced by U.S. District Court Judge Landya McCafferty to 30 months in federal prison and three years of supervised release. She also ordered Park to pay \$639,821.78 in restitution, the amount of tax and interest not repaid at the time of sentencing, to the United States. She also ordered Park pay a fine of \$15,000. In July 2024, Park pleaded guilty to willful failure to pay over payroll taxes and willful failure to file a tax return.

Park was the co-founder and CEO of a startup technology company. Park was responsible for all financial matters related to the company, including for filing the company's quarterly payroll tax returns and collecting and paying over Social Security, Medicare and income taxes withheld from the employees' wages to the IRS, as well as the matching Social Security and Medicare taxes the company owed. Park was also responsible for collecting and paying over state and local taxes to those respective governments.

From the company's founding in 2014 through the third quarter of 2021, Park withheld federal, state and local taxes from the wages of the company's employees but did not pay them over to the IRS and state and local tax authorities as required by law. He also did not pay over the portion of the payroll taxes that the company owed. Park did so even though a payroll service company that he hired to process the employees' payroll notified him hundreds of times that the taxes were due, and four employees of the company complained that the Social Security Administration reported no withholdings had been paid over by the company on their behalf.

From 2013 through 2020, Park also did not file individual tax returns as required by law, despite the fact that he paid himself a salary of approximately \$250,000 each year.

In total, Park caused a tax loss to the IRS exceeding \$14.7 million.

"For many years, the defendant took elaborate steps to defraud the IRS by not filing or paying his personal income taxes and by using his employees' payroll taxes as free capital to grow his business. Then, when matters got out of hand, he falsely told his investors that his company was tax compliant to secure the funds to try to make the problem disappear," said Acting United States Attorney Jay McCormack. "The substantial sentence imposed by the court reflects the seriousness of the defendant's conduct and his disregard for our nation's tax laws and sends a message to deter other would-be tax fraudsters who might seek to enrich themselves at the expense of honest taxpayers."

"Yesterday's sentencing of Andrew Park is a strong reminder that payment of individual and business taxes is an obligation, not a choice," said Thomas Demeo, Acting Special Agent in Charge of the Internal Revenue Service Criminal Investigation, Boston Field Office. "When Andrew Park made the decision not to pay taxes for himself and his business, he also made the decision to cheat his employees and other honest taxpayers. Investigations of employment tax fraud is a priority for Internal Revenue Service Criminal Investigation as our system of taxation depends on everybody paying their fair share."

IRS-Criminal Investigation led the investigation. Assistant U.S. Attorney Matthew T. Hunter and Assistant Chief Eric Powers of the Tax Division are prosecuting the case.

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